Monetary Policy Statement *(January-June 2012)*

Executive Summary

This issue of the Bangladesh Bank (BB) half yearly Monetary Policy Statement (MPS) outlines the monetary policy stance that BB will pursue in H2 FY12 (January-June 2012), based on an assessment of global and domestic macro-economic conditions and outlook. This ex-ante announcement of the monetary policy stance is intended to anchor inflationary expectations and provide households and firms sufficient information to plan their savings and investment decisions. This MPS was preceded by productive consultations with a range of key stakeholders – including the Parliamentary Standing Committee on the Economy - and comments were solicited and received through the BB website.

In FY10 and FY11 the global economy was reeling from the effects of the 2009 global financial crisis and in order to limit the impact on the Bangladesh economy, BB eased monetary policy. As a consequence of this stance, and other pro-active measures, the Bangladesh economy emerged largely unscathed from this global crisis, averaging over 6% growth between FY2009 and FY2011. In FY12 the economy faces a different set of challenges related to both global and domestic factors and as such BB's monetary stance has been adjusted accordingly while keeping in mind the key goals of BB – inflation management and supporting equitable growth.

Global growth prospects in 2012 remain highly uncertain in key trading partner countries, particularly in Europe due to the unfolding sovereign debt crisis in several countries and the increasing related risk of a global recession. The United States is showing fledgling signs of recovery but overall the growth prospects for 2012 in advanced economies remain weak and there have also been downward growth adjustments for developing countries (from 6% in 2011 to 5.4% in 2012) including India and China. Global commodity prices remain volatile. Current oil prices are close to the 2011 peak. While overall global food prices have been on a downward path over the past six months, the benchmark international (Thai) rice price rose by 30% between May and November 2011.

Domestic growth was projected at 7% in the FY12 Budget assuming stable domestic and global economic conditions. Data for the first half of FY 12 on agricultural output as well as indicators of industrial and service sector performance suggest that if there is no change in the global environment this growth rate could be achieved. However due to the fact that in recent months global economic conditions have significantly deteriorated Bangladesh's export and remittance growth may slow down, as is the case with other countries. Moreover weak aid inflows, slowing imports and moderating credit growth will limit aggregate demand. As such BB is projecting growth in the range of 6.5-7.0%.

Inflation, averaging 10.7% in December 2011, is higher than the 7.5% average projected in the 2011/12 Budget speech. This is due to a number of factors including the lagged transmission of higher global food prices, high domestic credit growth in FY2011 and recent upward adjustments in energy and petroleum prices. In recent months overall (point to point) inflation has declined from a peak of 11.97% in September to 10.63% in December. However the fact that non-food inflation is still steadily increasing – partly due to energy and petroleum price adjustments – suggests that the focus on curbing inflation to single digit levels needs to continue.

The **external sector** is facing a challenging environment and addressing this is an integral part of Bangladesh Bank's monetary stance as strong external buffers are essential for sustainable growth. Import growth continues to outpace export growth and this gap in the current account balance cannot be fully met by remittance inflows. The capital account has worsened significantly partly due to very low aid inflows. As a result of these pressures, the Taka/US dollar exchange rate has depreciated by about 15% in the twelve months leading to mid January 2012 and foreign exchange reserves have also fallen from US$10.1 billion to 9.2 billion during this period. Facing similar pressures, the Indian rupee has depreciated by 19% in 2011. In light of the global slowdown it is important for the taka to adjust to reflect market conditions and maintain external competitiveness. At the same time recent trends suggest that the pressure on foreign reserves will ease in the coming months. A key indicator – new Letter of Credit (LC) openings – has fallen by 8% in January 2012 relative to a year ago. A more restrained domestic credit environment is expected to limit import growth further, while the more depreciated exchange rate will support export and remittance growth. As such we expect that a new external sector equilibrium will be reached soon.

The fiscal stance is supportive of the government's growth strategy but the sharp decline in foreign aid, a rising subsidy bill and low levels of non-bank borrowing, has led to rapid growth of borrowing from the banking sector, including from BB. The current level of borrowing from the banking system is higher than what was expected when the FY12 was prepared. Despite this, **monetary targets for FY12 are on track establishing the credibility of the stance taken in the previous Monetary Policy Statement.** In November 2011, reserve money growth and broad money growth (M2), on a year-on-year basis, were 15.4% and 17.7% respectively, well below the 16% and 18.5% targets set out in the July MPS. This stance was achieved through active liquidity management (repo and reverse repo operations) which ensured positive real interest rates in the money market, raising repo rates by 100 basis points in FY12 and lifting all rate caps other than agriculture and pre-shipment export credit. This stance has still left room for adequate private sector credit growth (year on year growth of 18% in December 2011).

The monetary stance in H2 FY12 will take these recent economic developments into account and pursue a restrained monetary growth path in order to curb inflationary and external sector pressures, while ensuring adequate private sector credit to stimulate inclusive growth. This stance, which aims to bring inflation to single digits and stem foreign reserve depletion, is being closely coordinated with the Ministry of Finance as a prudent fiscal stance is essential for achieving these objectives. Ensuring government borrowing from the banking system does not crowd out available liquidity for commercial banks will remain a key area of focus for BB. Specifically we aim to contain reserve money growth to 12.2% and broad money growth to 17.0% by June 2012. Credit to the private sector is envisaged to remain at a healthy 16.0% well in line with growth targets and similar to other countries in the region – however this private sector credit growth rate could rise if government borrowing from the banking system is less than anticipated. Ensuring positive real interest rates will strengthen monetary transmission channels, curb non-essential imports, stabilize external reserves and lead to an equilibrium exchange rate. At the same time interest rate spreads will be closely monitored, and apart from specific sectors such as SME and consumer lending, BB has advised banks to keep these in lower single digits (below five percent).

Monetary policy statement (January-June 2012)

Global context

Global growth prospects remain highly uncertain in key trading partner countries, particularly in Europe due to the unfolding sovereign debt crisis. The United States is showing fledgling signs of recovery but overall the growth prospect for 2012 in advanced economies remains bleak and there have also been downward growth projection adjustments in developing countries (see Box 1).

Box 1. Global Growth Outlook and Implications

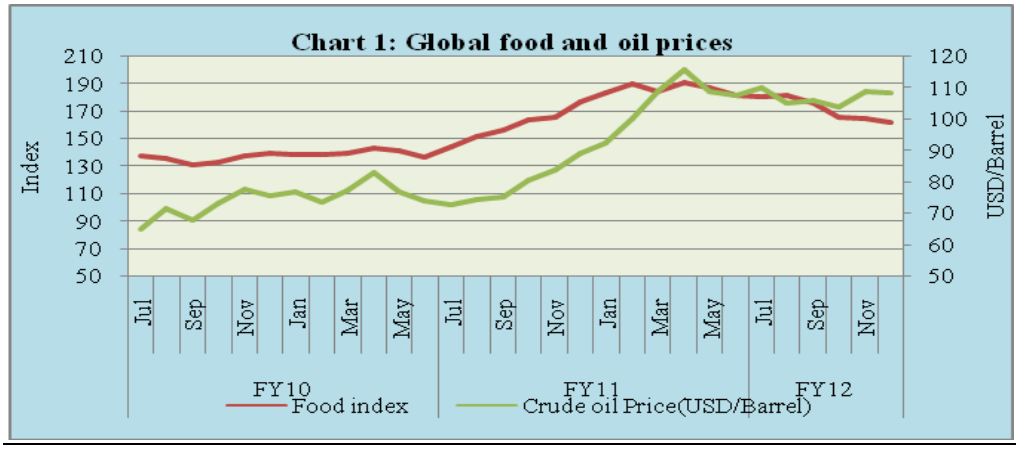
Near-term growth prospects in the major advanced economies appear to be weakening, with growth also showing signs of moderating in emerging economies. Risks now point to the downside, from weaker global activity and renewed financial volatility, including that triggered by fiscal challenges in a number of advanced economies. Asian regional growth is healthy, but shows signs of slowing down, as projected in the 2012 Global Economic Prospects publication by the World Bank. Inflation in much of the region remains stubbornly high, driven up in developing Asia by higher food and fuel prices. There are clear downside risks to the outlook for Bangladesh stemming from uncertain external factors**.** The weaker-than-expected growth in advanced economies could weigh on RMG, and other, exports. This is particularly so given that 74% of all exports go to the US and the EU. Remittances could also be affected but the risks are lower given the relative resilience of the Middle Eastern economies.

GDP growth
(year- on- year, in percent)

	2010	2011e	2012 (Proj.)
World	4.1	2.7	2.5
High income countries	3.0	1.6	1.4
OECD Countries	2.8	1.4	1.3
Euro Area	1.7	1.6	-0.3
USA	3.0	1.7	2.2
Developing countries	7.3	6.0	5.4
China	10.4	9.1	8.4
India	8.7	6.5	6.5

In the medium term the global engine of growth will be in Asia, with Bangladesh situated at the cross-roads of this dynamic region. Resolving infrastructure bottlenecks and improving the business environment will spur more FDI. On-going progress in expanding the export base and accelerating regional integration will also contribute to stronger growth performance in the years ahead.

Global commodity prices were on a gently downward path in the second half of 2011 especially for key food prices, even though Thai rice prices rose about 30% between May and November. Oil prices have fluctuated more and January 2012 Brent crude oil prices are close to last year's peak of $115 due to escalating tensions over Iran's nuclear programme. A further round of quantitative easing in advanced countries in light of the current Eurozone crisis could lead to speculative flows into commodity markets. Hence the current easing of commodity market prices may not persist in 2012. Overall volatility of commodity prices has increased in recent years and there is little sign this will ease in 2012.



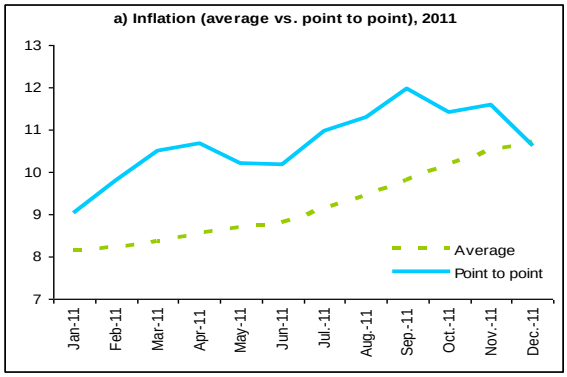
Recent economic developments

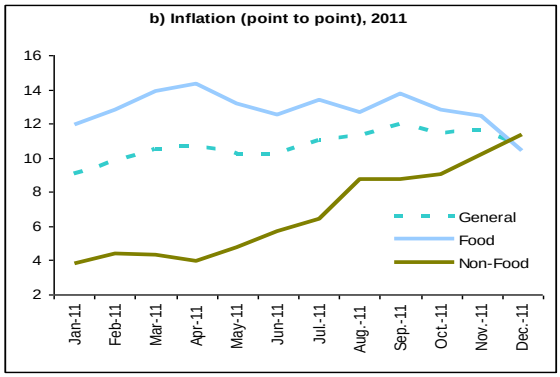
In FY10 and FY11 the global economy was reeling from the global financial crisis of 2009 and in order to avert an impact on the Bangladesh economy, broad money growth and specifically private sector credit growth were eased. The Bangladesh economy as a consequence of this stance, and other pro-active measures, emerged largely unscathed from the global crisis, averaging over 6% growth between FY2009 and FY2011. In FY12 the economy faces different challenges related to both global and domestic factors and as such our monetary stance has been adjusted accordingly while keeping the key goals of the Bangladesh Bank – inflation management and supporting equitable growth in mind.

Domestic growth was projected at 7% in the FY12 Budget assuming stable domestic and global economic conditions. Data for the first half of FY 12 on agricultural output (e.g. the Aus rice crop is 9% higher than last year and bumper wheat production is expected) as well as indicators of industrial and service sector performance (Quantum Index of Manufacturing Output and export data) suggest an overall robust growth outlook and would support the FY12 projection. However due to the fact that in recent months global economic conditions have significantly deteriorated Bangladesh's export and remittance growth may slow down. Moreover weak aid inflows, slowing imports and moderating credit growth will limit aggregate demand. As such we are projecting growth in the range of 6.5-7.0%.

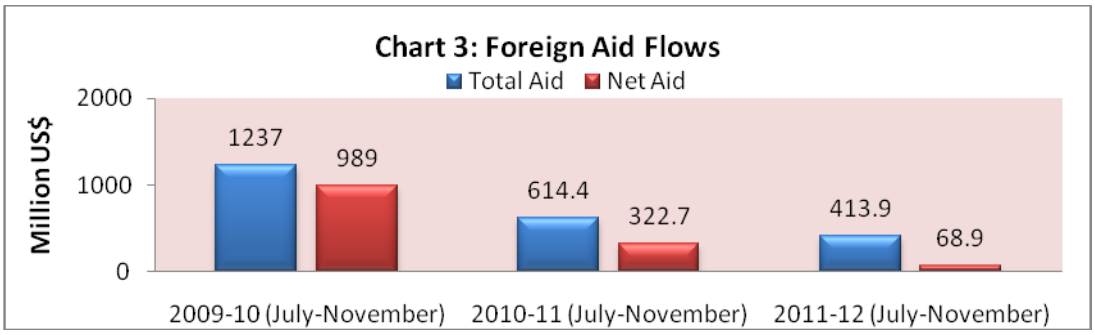
Inflation, averaging 10.7% in December 2011, is higher than the 7.5% average projected in the 2011/12 Budget speech. This is due to a number of factors including the lagged transmission of higher global food prices, high domestic credit growth in FY2011 and recent upward adjustments in energy and petroleum prices. Bangladesh Bank' strategy to bring inflation down to single digit levels is being closely coordinated with the Ministry of Finance as limiting Government borrowing from the banking sector, is also essential for managing inflation (see below for details). There has been some progress towards this goal with point to point inflation declining from a peak of 11.97% in September to 10.63% in December (see chart 2). This is essentially due to a decline in food price inflation (from a peak of 14.3% in April 2011 to 10.4% in December). However the fact that non-food inflation is still steadily increasing – partly due to energy and petroleum price adjustments – suggests that the focus on bringing inflation to single digit levels needs to continue. A core inflation measure – which omits food and fuel prices – was constructed for this MPS and the trend also confirms the importance of bringing inflation down further.

Chart 2: Inflation





The external sector is facing a challenging environment (see Annex 1 for the balance of payments table) and addressing this is an integral part of Bangladesh Bank's monetary stance. Export growth (14.7% between July-December 2011 compared to the same period last year) lags behind import growth (22% between July-November compared to the same period last year) partly due to the projected 57% increase in petroleum imports in FY12 compared to the previous year. November 2011 witnessed a marginally negative current account balance for the first time in recent years as the negative trade balance was not fully compensated by worker remittances, despite the robust 9.3% remittance growth witnessed in the first six months of FY12. A sharp decline in net foreign aid (total aid minus payments) is another major reason behind balance of payment pressures. Chart 3 shows the July-November period for the last three years illustrating that the net aid for this period in 2011 ($69 million) is only 7% of that received in July-November 2009.



As a result of these multiple pressures, the **exchange rate** has depreciated, with the taka's value falling by around 15% vis-a-vis the US dollar in the twelve months preceding mid January 2012 and foreign exchange reserves have also fallen from US$10.1 billion in to 9.2 billion during this period. This depreciation is a market-led adjustment reflecting Bangladesh's balance of payments position as well as the fact that the nominal exchange rate needs to adjust to maintain export competitiveness, especially given the global slowdown. At the same time remittances appear to have responded positively to the depreciation of the taka. Remittances in the month of December were at a monthly record of US $1.15 billion and data from the first half of January 2012 point to a similar figure repeating itself. Overall this exchange rate adjustment is likely to be associated with double-digit remittance growth in the remaining months of this fiscal year significantly higher than the 6% growth last fiscal year.

At the same time recent trends suggest that the pressure on foreign reserves will ease in the coming months. A key indicator – new Letter of Credit (LC) openings – has fallen by 8% in January 2012 relative to a year ago. A more restrained domestic credit environment is expected to limit import growth further, while the more depreciated exchange rate will support export and remittance growth. As such we expect that a new external sector equilibrium will be reached soon.

The fiscal stance is supportive of the government's growth strategy but the lack of foreign aid and unanticipated spending pressures have led to rapid growth of borrowing from the banking sector. The level of borrowing from the banking system in the first five months of FY12 is higher than what was expected when the Budget was prepared (see table 1). This reflects significant shortfalls in foreign borrowing (as discussed above), higher-than-expected subsidy payments and low levels of non-bank borrowing. The last factor can be enhanced if upward revisions to the interest rates on National Savings Schemes are made. On the expenditure side rising subsidy costs -estimated at 3.4% of GDP (or 19.1% of total spending) in FY12 compared with 1.3% of GDP (or 8.8% of total spending) in FY10 - are intensifying the government's domestic financing requirement, as state owned enterprises providing fuel and electricity continue to make large losses, despite recent fuel and electricity price increases.

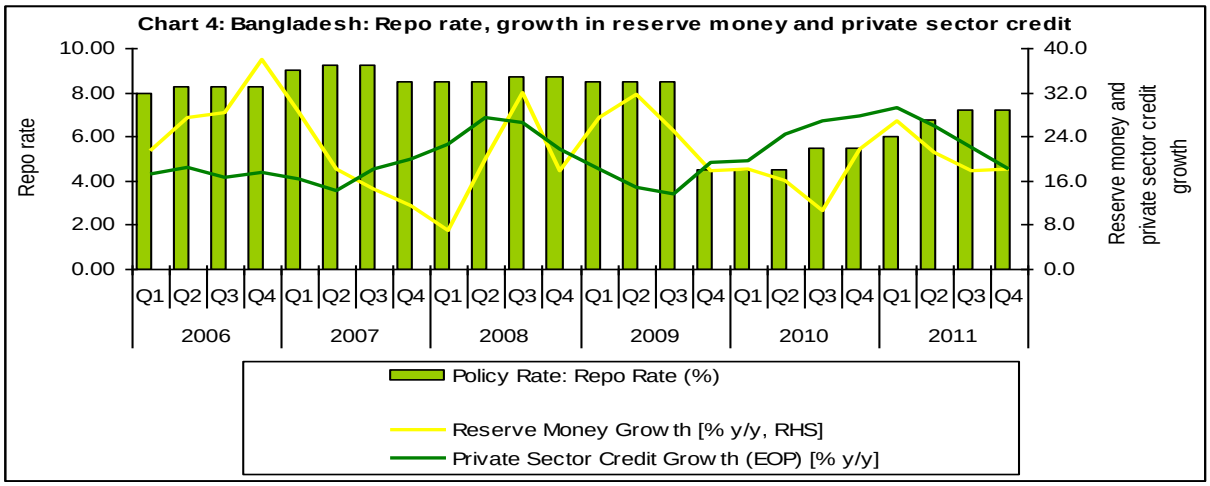
Table-1: Budget Financing

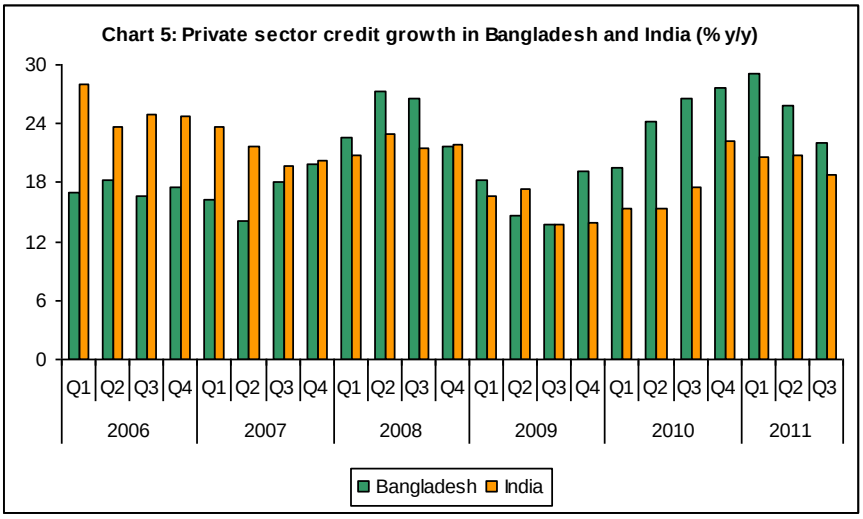
(Tk. In crore)

	Actual			Budget
	Jul.-Nov.10	FY11	Jul.-Nov.-11	FY12
Financing				
Foreign borrowing (Net)	2256	7470	531	13058
Domestic borrowing	2932	22397	18224	27208
Borrowing from the Banking System	222	19384	17097	18957
Non-bank borrowing	2710	3013	1127	8251
National Savings Schemes(Net)	2068	2058	568	6000
Others	642	955	558	2251

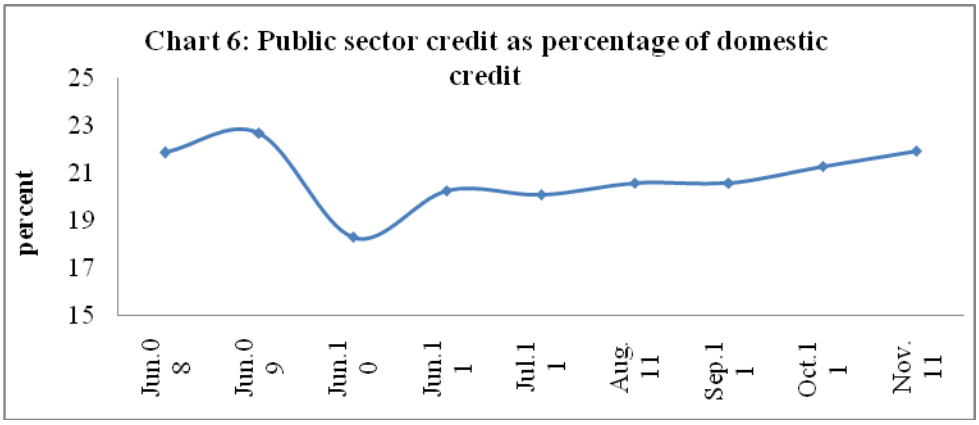
Source: Ministry of Finance and BB

Monetary growth targets for FY12 are on track establishing the credibility of the stance taken in the previous Monetary Policy Statement. In November 2011, reserve money growth and broad money growth (M2) were 15.4% and 17.7% respectively, well below the 16% and 18.5% targets set out in the July MPS. This stance was achieved through open market operations, raising the repo rates by 100 basis points in FY12 and lifting caps on lending interest rates other than for agricultural and pre-shipment export credit (chart 4). While weighted average lending rates have gone up on average by 1.6% points in 2011, BB is closely monitoring spreads so that they remain in low single digits for all sectors, except SME and consumer credit. This stance, along with pro-active liquidity management still ensured adequate year on year private sector credit growth (see chart 4) – more than sufficient to sustain economic growth targets, in line with earlier years and above that of India (see chart 5).

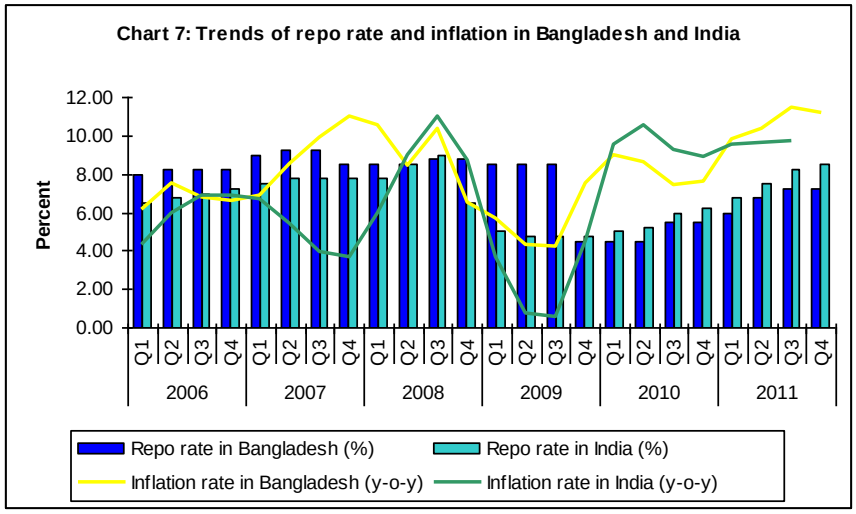




As discussed above credit to the public sector remained significantly higher than projected in the July MPS. Liquidity management focused largely on the Primary Dealer banks which had to absorb a larger amount of Treasury bills/bonds than they had anticipated due to the higher levels of Government borrowing from the banking sector. The extent of crowding out is limited by the fact that the weight of government borrowing in total domestic credit remains around 20% (chart 6) though clearly more limited government borrowing from the banking sector would free up more room for private sector credit growth.



While country specific circumstances remain critical in determining the appropriate pace and mix of policy adjustments, cross-country experiences from around the region illustrate the importance in Bangladesh of using monetary policy to stay ahead of the curve and act preemptively to mitigate risks from domestic and external imbalances. In India, policy rates were raised 13 times, by a total of 375 basis points, between March 2010 and October 2011 to address rising inflationary pressures (chart 7). As a result the main inflation guage, the Wholesale Price Index, has now fallen from 10.5% in mid 2010 to a two year low of 7.5% in December 2011. Meanwhile, India's flexible exchange rate broadly served it well in managing volatile capital inflows and protecting its external position. The Indian rupee depreciated by about 19% against the US dollar in 2011. Vietnam presents a cautionary tale as rapid monetary expansion coupled with an initially overvalued exchange rate led to sharply higher inflation and downward pressures on international reserves (see Annex 2). The government responded through modest tightening to curb overheating risks, but inflation remains relatively high at around 20%.



Bangladesh's monetary stance in H2 FY12 will take these recent economic developments into account and pursue a restrained monetary growth path consistent with curbing inflationary and external sector pressures, while ensuring adequate private sector credit to stimulate inclusive growth. This path is

essentially a continuation of the monetary stance declared in July 2011, with some small adjustments in the monetary targets (table 2), and a greater focus of using BB's policy tools to limit foreign reserve depletion by reducing import demand pressures. Ensuring positive real interest rates will strengthen monetary transmission channels, curb non-essential imports, stabilize external reserves and lead to an equilibrium exchange rate.

Specifically we aim to contain reserve money growth to 12.2% and broad money growth to 17.0% by June 2012. Credit growth to the private sector is envisaged to remain at 16.0% well in line with other countries in the region, and sufficient to meet growth targets. Bank deposit, lending rates and spreads are being monitored, and were posted on BB's website, in order to foster transparency. Day to day market interventions by Bangladesh Bank will be maintained only to the extent of avoiding excessive volatility.

Table 2: Monetary Aggregates (y-o-y growth in percent)

	Actual					Programme
	FY09	FY10	FY11	Sep-11	Dec-11	June 2012
1. Net Foreign Assets	27.2	41.3	5.3	-0.8	-8.6	-8.9
2. Net Domestic Assets	17.8	18.8	25.0	24.3	22.9	21.9
Domestic Credit	15.9	17.6	28.4	27.2	25.7	19.1
Credit to the public sector (incld. Govt.)	20.3	-5.2	39.9	52.4	62.0	31.0
Credit to the private sector	14.6	24.2	25.8	22.0	18.0	16.0
3. Broad Money	19.2	22.4	21.4	19.6	17.4	17.0
4. Reserve Money	31.9	18.1	21.0	17.6	12.5	12.2

There are a number of key policy measures underlying this program:

First there is scope for increasing private sector credit growth for productive investments beyond the programmed level if there is a reduction in growth in credit to the public sector. Limiting public sector borrowing from the banking sector can be achieved by increasing interest rates on savings certificates, through greater external and domestic resource mobilization and by rationalizing public expenditures. In parallel BB will aim to reduce the demand for consumer loans (e.g. the recent step to change the loan margin ratios for consumer items), so as to increase the share of lending going towards growth-enhancing investment purposes.

Second, BB will ensure liquidity support for banks, so that productive credit growth is not crowded out. In future, the Government's borrowing calendar will need to be modified to allow for a higher

percentage of debt auctions in Treasury bills, as the long dated Treasury bonds lack liquidity in the absence of an active secondary market.

Third while the interest rate regime will remain liberalized, BB will focus more on monitoring interest rate spreads so that they remain below 5% except for SME lending (as the costs of SME operations are higher) and consumer lending (in order to reduce consumer demand). In future BB expects to see these spreads further reduced as the banking sector becomes even more competitive. By enforcing and making these spreads public through its Open Data Initiative, BB aims to make the pricing of loans competitive and reasonable.

Fourth, in order to reach the new external sector equilibrium, overall import demand needs to be rationalized. Opening of L/Cs for non-essential and luxury items will be discouraged while those for essentials such as petroleum will be unhindered. Inter-agency coordination related to petroleum import payments is being enhanced; a new coordination committee will aim to ensure that taka liquidity is provided ahead of time so that banks can purchase the needed foreign exchange on the inter-bank market on a regular basis so that lumpy Bangladesh Petroleum Corporation payments can be met instead of approaching BB for foreign exchange.

Fifth, in order to ensure that savings is intermediated safely and efficiently in support of our pro-poor growth strategy we will take further steps to improve the stability, and outreach, of our financial system. Financial inclusion will be promoted through specific products targeted to the needs of the unbanked, and this objective is fully consistent with the monetary program.

The outcomes of the monetary program and policies pursued in H2 FY12 will be reviewed in July 2012 in light of prevailing global and domestic economic conditions.

Annex 1: BALANCE OF PAYMENTS

In million US$

Components	2008-09	2009-10	2010-11	2011-12
			Provisional	Projection
Trade balance	-4,710	-5,155	-7,328	-9,034
Services	-1,616	-1,233	-2,398	-2,878
Income	8,742	10,112	10,721	11,669
*Of which: W*orkers' remittances	9,689	10,987	11,650	12,815
CURRENT ACCOUNT BALANCE	2416	3724	995	-243
Capital account	451	512	600	300
Financial account	-825	-651	-1584	-1443
Foreign Direct investment	961	913	768	850
Other investment	-1627	-1447	-2324	-2343
MLT loans	1204	1589	1051	850
Errors and omissions	16	-720	-936	560
OVERALL BALANCE	2058	2865	-925	-826

Source: Statistics Department, Bangladesh Bank, EPB and the Ministry of Finance.

Annex 2: Cross-country comparisons

